EA Hospitality
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Sunday Foresight

26 Oct–1 Nov 2026

THIS WEEK

Kenya's inflation hit 7.3% on 17.1% dearer transport, and with the shilling flat, 2027 dollar rates are losing margin before Ebola costs a single booking

Plus 6 Big Reads and the forecast ledger

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Daily intelligence for city, bush & beach properties across East Africa

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DAILY INTELLIGENCE FOR CITY, BUSH & BEACH PROPERTIES ACROSS EAST AFRICA

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THE SUNDAY FORESIGHT

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EA Hospitality Pulse · Sunday Foresight · Sun 1 Nov 2026

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Every figure in this issue traces to a named, dated source. Claims are graded Confirmed, Reported or Early signal. Corrections are published, not quietly edited.

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THE SUNDAY FORESIGHT · 1 NOVEMBER 2026

Kenya's inflation hit 7.3% on 17.1% dearer transport, and with the shilling flat, 2027 dollar rates are losing margin before Ebola costs a single booking

The month's argument has been about demand: Level 3, nine Ebola cases, a boarding form. The number that landed on 30 October was about cost. Kenya's annual inflation rose to 7.3% from 6.8%, the highest since July 2023, with transport up 17.1% and diesel up 32.5% on a year earlier (KNBS, 30 Oct). Core inflation is only 4.3%. Non-core, meaning food and fuel, is 15.1%.

> **WHAT EVERYONE IS MISSING**
>
> : that split matters more than the headline. A fuel-and-food shock is not a wage shock, so it lands on lines a lodge cannot trim: transfers, game drives, generators, provisions. The shilling was KSh129.91 to the dollar on 22 October, against 129.81 a week earlier (CBK, 23 Oct). With the currency still, local inflation is dollar cost for anything bought in shillings, so 2027 dollar rates set on spring costs are quietly marked down. That is our inference.

THE WEEK'S SIGNALS

1 KENYA'S INFLATION IS 7.3%, AND TRANSPORT IS 17.1%

Food 10.2%, prices up 0.7% on the month (KNBS, 30 Oct). The Central Bank held at 8.75% on 7 Oct.

So what — re-cost transfers and provisions before you quote 2027.

City, Bush, Beach · KE · Confirmed (figures) / Inference (rate-card effect) · impact:margin

2 THE 8% FUEL VAT HAS A DATE, AND BY OUR COUNT IT IS ABOUT 12 JANUARY

EPRA's 15 Oct to 14 Nov prices: diesel KSh227.76, petrol 226.96 (Capital FM, 16 Oct). The Act signed 16 Oct extends 8% for 90 days from 14 Oct. At 16%, our arithmetic puts diesel near KSh244.6, up 7.4%.

So what — price a no-relief case.

Bush, City, Beach · KE · Confirmed (prices, Act) / Inference (end date, cliff) · impact:margin

3 KENYA'S ACCOMMODATION AND FOOD GROWTH ROUGHLY HALVED IN Q2

Accommodation and food services grew 7.4% in the second quarter, down from 14.7% in the first (CBK bulletin, 23 Oct). That is sector growth, not occupancy.

So what — it predates Level 3.

City, Bush, Beach · KE · Confirmed (figures) / Inference (cause) · impact:watch

4 RWANDA'S URBAN PRICES ARE UP 17.2%, TANZANIA'S 4.3%

Rwanda's September urban index: hotels and restaurants 18.9%, energy 45.0% (NISR, 10 Oct). Tanzania 4.3%, transport 14.0% (NBS, September). Uganda's policy rate: 12.0%. Local currency.

So what — Tanzania's edge is the headline, not fuel.

City, Bush · RW TZ UG · Confirmed (indices) / Inference (competitiveness) · impact:margin

5 ZANZIBAR'S AUGUST: 124,481 ARRIVALS, UP 18%, AMERICAS DOWN 29%

Occupancy est. 92.9% from declared stays, one peak month (OCGS, 8 Sep). Europe supplied 58.1%.

So what — the island sells on Europe.

Beach · TZ · Confirmed (release) / Inference (read) · impact:demand

Blind spots: UK Kenya, Canadian, German, French advice; Africa CDC; KCAA; three gazettes.

30/90-DAY DEMAND CALENDAR

US	3 Nov — US no-DRC boarding declaration starts. Tell US guests.
TZ	8–9 Nov — Tanzania October CPI (pattern). Compare with 14.0%.
RW	10–12 Nov — Rwanda October CPI (pattern). Our call: above 15%.
KE	14 Nov — EPRA review; new prices from 15 Nov. Re-cost transfers.
RW	18–20 Nov — Africa Fintech Summit, Kigali. Price city rooms.
KE	30 Nov — KNBS November CPI (about).
KE	12 Jan 2027 — fuel VAT relief reaches 90 days (our arithmetic).

If diesel went to KSh244, which line of your 2027 rate card would stop covering its cost?



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 1 OF 6 · 26 OCTOBER 2026

Zanzibar got the seats it asked for. The room rate fell 18 per cent.

Airline capacity into Zanzibar rose 11 per cent in a year and is forecast to rise another 33 per cent by March. August set an arrivals record at an estimated 92.9 per cent bed occupancy. Over the same twelve months the weighted average online room rate fell about 18 per cent, in every category. East Africa has spent three years arguing that seats are the binding constraint. One island has now run the experiment.

On the evening of 20 October, in a five star beachfront resort that had opened on Zanzibar's coast only eight months earlier, Shariff Ali Shariff told a room of 178 foreign travel buyers that his island had outgrown its own brochure. "Zanzibar is no longer just a destination for holidays," the Minister of State in the President's Office said. He wanted conferences. He wanted Pemba developed carefully. He wanted guests who, in his phrase, "come for our beaches but stay longer." It was a confident speech to a confident room. Essence of Africa, the buyer forum hosting it, had grown its exhibitor list by 53 per cent since its first edition, and roughly three quarters of the buyers sitting in front of him were attending for the first time.

Within forty eight hours the association that convened those buyers published the figures that complicate the speech. Airline seat capacity into Zanzibar grew by more than 11 per cent in the twelve months to October 2026, with long haul seats up 26 per cent. Over the next six months it is forecast to rise by 33 per cent, split between a 36 per cent jump in domestic capacity and 31 per cent internationally. Forward flight bookings through the global distribution systems for travel to March 2027 are up 10 per cent year on year. By any measure an island tourism board would recognise, this is the thing everyone has been asking for.

In the same release, from the same analysis, came the other number. The weighted average room rate advertised through online travel agencies on Zanzibar fell by about 18 per cent over those twelve months, and it fell in every hotel category.

That pairing deserves to be sat with, because it is not the pattern the region has been trained to expect. The orthodoxy across East African hospitality for the last three years has been that demand is latent and access is the constraint: open the route, add the frequency, cut the visa friction, and rate follows volume. Zanzibar did the first

part. Its arrivals in August reached 124,481, the highest monthly total in the official series, up 18 per cent on August 2025. Between January and August it received 633,228 international visitors, 10.6 per cent ahead of the same period last year, after a 2025 that closed at 917,167 and grew almost a quarter. The Office of the Chief Government Statistician put estimated bed occupancy for August at 92.9 per cent, calculated from declared intended stays, which is to say the island was as close to physically full as a beach destination gets.

Full, and 18 per cent cheaper. The market did not clear on value. It cleared on volume.

Why it cleared that way is visible in the composition of what is being sold. Of Zanzibar's hotel supply listed online, 57 per cent is three star, 28 per cent four star and 15 per cent five star. The same intelligence scores the island at 86 out of 100 on tourist perception, with security at 95 and climate at 90, and at 65 on the product index that measures what is actually there to do. Hospitality satisfaction sits at 74 overall: 77 at five star hotels and resorts, 69 at three star. The gap between a perception score of 86 and a product score of 65 is the whole argument in two numbers. Travellers like the idea of Zanzibar considerably more than they like the delivery of it, and when a majority of the delivery is three star rooms that under perform the island's own average, the only lever left to the operator holding one is price.

Arif Mazrui, general manager of Fisherman Tours and Travels and a man who has watched the island's supply curve from inside it, put the mechanism plainly at the same forum. "They're turning every corner and every building into a hotel," he said, noting that around 25 hotels and resorts have opened in Zanzibar over the past six years. Supply of that kind does not arrive with a differentiation strategy attached. It arrives as rooms, and rooms compete on the only attribute a booking engine displays above the fold.

The second mechanism is the rotation of the source markets themselves, which is where the yield is quietly leaving. In August, arrivals from the Americas fell 29 per cent year on year, with the United States down 26.1 per cent, to 5,755 visitors in total. Over the same month African arrivals rose 58.4 per cent to 30,495, with Kenyan arrivals alone up 75.2 per cent. Russia, served by direct flights from Moscow since July, rose 376 per cent to 4,298, and its forward bookings for travel through March 2027 are up 98 per cent. Forward bookings from the United Kingdom are up 51 per cent, Germany 14 per cent, France 8 per cent. Forecast inbound capacity from the Gulf is extraordinary: the United Arab Emirates up 57 per cent, Oman up 108 per cent, Qatar up 17 per cent.

Nobody should read that as a bad trade in itself. Regional and emerging market demand is resilient demand, it is cheaper to acquire, and the average intended stay on the island is a healthy 7.6 nights. But a destination that loses a quarter of its highest spending long haul market while adding charter and regional volume is not holding its mix constant, and the advertised rate is simply reporting that fact. The rooms that used to be sold to an American couple in February are being sold, and they are being sold full, at a different number.

Virginia Messina, group chief executive of the African Travel and Tourism Association, which published the analysis, said the quiet part at the forum itself. "Growth alone cannot be our measure of success," she told delegates, calling for continued investment in hospitality standards and for "protecting the quality and value of its tourism product." It is unusual for a trade body to release capacity growth of 33 per cent and then warn the room about it on the same stage. It is worth noticing when one does.

For operators on the mainland and in Kenya, this is not an island curiosity. It is the nearest thing the region has to a controlled experiment, and the control group is about to become Kenya's coast.

Kenya's national numbers look like Zanzibar's did two years ago. International arrivals reached 2,792,875 by June 2026, an 88 per cent increase on 2022, with tourism earnings up 110 per cent to Sh564 billion over the same period on Government Delivery Unit figures. Beneath the headline, the shape is familiar: conference demand has performed strongly in Nairobi while coastal leisure has not kept pace, and coastal accommodation capacity has reportedly risen from roughly 30,000 beds to around 50,000. That is a two thirds increase in supply into a segment growing more slowly than the aggregate. It is the Zanzibar precondition, assembled quietly, one property at a time.

Sam Ikwaye, coast executive officer at the Kenya Association of Hotelkeepers and Caterers, has been making the access argument that this piece is interrogating, and he is not wrong about the symptom. Without direct flights, he has warned, the national growth figure is "growth on paper" and is not felt by the industry on the ground. The Zanzibar data does not refute him. It qualifies him severely. Direct flights will convert paper growth into bodies in beds. What the past twelve months on Zanzibar demonstrate is that bodies in beds and rate per bed are now separable outcomes, and that winning the first can cost you the second if the product underneath has not moved.

More capacity is coming regardless. British Airways will fly London Gatwick to Kilimanjaro and onward to Zanzibar three times weekly from 29 May 2027, its return to Tanzania after thirteen years, running through to the end of that October. Kenya has signed marketing partnerships with Emirates and Qatar Airways. The region's seat map in 2027 will be the best it has had. The question every rate sheet being written this quarter has to answer is what is being sold on those seats, and at what.

There are three practical consequences. The first is that contracting 2027 against a seat forecast is now a demonstrably unsafe method, because Zanzibar's forward seats and its forward rates moved in opposite directions. The second is that the product index, not the arrivals number, is the figure an owner should be managing: on an island scoring 86 for perception and 65 for product, the returns to spending on what guests actually do during the day exceed the returns to spending on another room block. The third is that mix discipline has to be deliberate. A property that lets its base shift to the cheapest acquiring market because the planes are already arriving from there will discover, as the island's three star stock has, that it has traded a rate card for an occupancy statistic.

Shariff, to his credit, appears to have read his own data. His stated ambition is "to ensure that every visitor contributes more to our economy," and on the island's second island he was blunter still: "We do not want Pemba to become another Unguja." That is a government proposing deliberate scarcity in the one place it still has the option, having watched what abundance did to the rate next door. Whether Zanzibar can hold that line against 33 per cent more seats and a construction sector turning every corner into a hotel is the open question of the next eighteen months.

For everyone else in East Africa, the lesson arrives early and cheaply, which is the best way for a lesson to arrive. The seat was never the hard part. The seat was the part that could be bought.



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 2 OF 6 · 28 OCTOBER 2026

East Africa's lodges hedged the room rate. The plate is the open position.

Kenya's maize harvest has fallen to a seven-year low, food inflation is running at 9.5 per cent, and the strongest El Nino since 1950 is landing on the region's granary. Full-board rates for 2027 are already contracted. The cost inside them is not.

The cabinet secretary was explaining a shortage, and in the middle of it he said something that should have unsettled every lodge owner between Laikipia and the Selous.

Mutahi Kagwe, Kenya's cabinet secretary for agriculture and livestock development, went on NTV in the first week of October to account for a harvest that had not arrived. The National Cereals and Produce Board had spent two months buying maize off farmers and had managed, by his own account, less than a million bags. The gap would be bought abroad. "We will import from the East Africa region and COMESA region," he said. Then, almost as an aside: "We import most of our maize from Tanzania."

Read that twice if you sell safari beds. The country that supplies the staple carbohydrate underneath a Kenyan lodge's breakfast, lunch and dinner is the same country that competes with it for the guest eating the meal, and it is the same country now sitting under a rainfall forecast that gives the Lake Victoria basin and western Tanzania a high chance of more than 400mm between October and December.

East African hospitality has spent 2026 hedging the wrong price. The industry's attention has gone, understandably, to the visible lines: commission, parity, fuel, park fees, the levies that arrive by gazette notice. Each of those has had its moment this year. None of them is the exposure most likely to decide what a full-board property actually earns in 2027. That exposure is the plate, and the plate is the one input an operator sells forward twelve to eighteen months in hard currency while buying it at spot, weekly, in shillings, from a food system currently repricing faster than it has in years.

Start with the harvest, because everything else follows from it. Kenya's grain production has fallen to its lowest level in seven years, according to the Cereal Millers Association, whose chief executive, Paloma Fernandes, put

it plainly in September: "This is the steepest decline in production and it is huge for us." Only six major producing counties are expected to deliver more than a million bags this season. The Famine Early Warning Systems Network, assessing the same crop in its 11 September seasonal monitor, was more specific and more alarming: preliminary assessments pointed to national maize yield deficits of roughly 28 per cent, rising to about 43 per cent in the high-potential North Rift counties of Trans Nzoia, Uasin Gishu and Nakuru. Those three counties are not a marginal rain-fed periphery. They are the part of Kenya that is supposed to feed the rest of it.

The market has already priced what the state has not. The Warehouse Receipt System Council put the national average for a 90kg bag of white maize at KSh4,243.50 on 12 October. The NCPB, trying to mop up supply for the strategic reserve, had raised its buying price to KSh4,000 from KSh3,800. A farmer looking at those two numbers does not sell to the board, which is precisely why the board got less than a million bags. The state is bidding under the market for a commodity the market knows is short.

That is the cost side arriving. The consumer side has already arrived. Kenya's September inflation print, released by the Kenya National Bureau of Statistics at the start of October, put headline inflation at 6.8 per cent, the third consecutive monthly climb from 6.4 per cent in June. Food and non-alcoholic beverages ran at 9.5 per cent year on year. Underneath that average sit the items a kitchen actually buys: potatoes up 33.6 per cent on the year, sukuma wiki up 32.5 per cent, cabbage up 25.8 per cent, tomatoes up 21.1 per cent. Beef with bones was quoted at KSh782.68 a kilogramme. Diesel, which moves every one of those items from farm to camp, was 26.9 per cent dearer than a year before. "The price increase was primarily driven by a rise in prices of items in the food and non-alcoholic beverages," said Macdonald Obudho, the bureau's director general, in the understated register of a statistician describing a problem other people will have to solve.

Now put that against the way an East African lodge sells. The long-haul trade contracts in advance. A camp agreeing 2027 rates with a European or North American operator did so in the first half of 2026, in dollars, with a single annual uplift negotiated against last year's cost base and this year's competitive pressure. Most of those contracts are full-board or all-inclusive, which means the property has sold a fixed number of meals at a fixed price before it knows what the meals will cost. The room has a yield manager. The plate has a procurement officer and a weekly market run. Only one of those two positions is hedged, and it is not the one with the inflation on it.

This is a margin transfer, and it moves in one direction. If a lodge negotiated a six or seven per cent uplift for 2027, which would have looked generous in April, and its food basket runs at nine or ten, the difference is simply handed to the tour operator who bought the allocation. Nobody reopens a signed rate sheet in the middle of a season. The guest does not see it, the operator does not pay it, and the property absorbs it in a line item that does not appear in any RevPAR comparison.

What turns this from a bad year into a structural problem is the weather, and here the forecast is unusually confident. The World Meteorological Organization in September put the likelihood of El Nino persisting through February 2027 at close to 100 per cent, and expects it to intensify into one of the strongest events since 1950. The Red Cross Red Crescent Climate Centre, summarising the regional outlook, noted that this was the first time in fifty years of seasonal forecasting that the organisation had issued an outlook with that degree of confidence. "This exceptional El Nino demands exceptional preparation and response," said Celeste Saulo, the WMO's secretary general. "We have no time to lose." The UN secretary general, Antonio Guterres, was blunter: "El Nino is being supersized before our eyes."

ICPAC, the regional climate centre, gives a 90 per cent likelihood of enhanced rainfall over southern Ethiopia, central and southern Somalia and north-eastern Kenya, with seasonal totals above 400mm across the Lake Victoria basin, Burundi, western Rwanda and western Tanzania. FEWS NET flags the same pattern with the agricultural consequence attached: excess rain can disrupt planting, damage crops already in the ground and delay harvests, alongside flooding, waterlogging and landslides in the Tana basin and urban flooding in Nairobi and Kampala.

Here is the timing trap, and it is the part most operators will get wrong. A wet short-rains season is, on a two-year view, good news. It regenerates pasture, refills surface water and supports an early second-season planting across the bimodal zones of Kenya, Uganda, Rwanda and southern Somalia. The relief is real. It simply arrives after the season it was meant to cover. For a camp holding contracted full-board rates through the 2027 high season, the rain that eventually lowers its food cost first raises it, by damaging the crop in the ground, cutting the murram roads its supplier uses and putting a fortnight on every delivery. The recovery shows up in the 2028 rate year. The disruption shows up in the 2027 accounts.

Which brings the argument back to Kagwe's aside. The standard mitigation for a short domestic crop is to import, and Kenya is doing exactly that. The Cereal Millers Association has asked the government to gazette three million tonnes of white maize for duty-free importation, over a nine-month window long enough for importers to secure contracts, financing and shipping. The ministry separately intends to gazette 360,000 tonnes of yellow maize for animal feed, to keep more white maize on the human side of the ledger. Lilian Tomitom, Kenya's high commissioner to Zambia, has confirmed Zambian availability, though transport costs from Lusaka are what they are.

But the association's own warning is the one a hotelier should write down. Tanzania, the nearest and cheapest source, could impose export restrictions, as it has when its domestic prices have risen before. The same rains now forecast to swell the Lake Victoria basin fall on Tanzania's growing regions too. The hedge and the hazard are the same country, and the moment Kenya most needs Tanzanian maize is precisely the moment Tanzania is least likely to let it cross. Nor is the border frictionless when it is open. Kagwe's other instruction to importers that week, "Do not bring maize that is not going to pass the tests," refers to aflatoxin and moisture limits that currently take up to four hours to verify in a laboratory and three to five days to clear at a border post, against a ministry target of about ten minutes.

None of this argues for panic, and none of it is a reason to stop selling full board, which remains the right product for a remote camp where the guest has nowhere else to eat. It argues for one change in how the contract is written and three in how the kitchen is run.

The contract change is a food-cost reopener. Hard-currency rate sheets for 2027 that are still unsigned should carry a clause allowing a renegotiation if the Kenyan or Tanzanian food index moves beyond an agreed band, in the same way that fuel surcharges travel with transfer pricing. Operators will resist it and some will refuse. The ones who refuse are telling you they expect the index to move.

The kitchen changes are duller and more effective. Shorten the menu, because every additional dish is an additional exposure to a commodity nobody is tracking. Move the protein mix deliberately rather than by default, before beef at KSh783 a kilogramme makes the decision for you. And buy forward where storage allows, which for maize, rice, oil and flour at a property with a dry store is a genuine hedge available today at a known price.

The last word belongs to a man who was talking about something else. At the East African Community's tourism council in Arusha this month, the deputy secretary general, Andrea Aguer Ariik Malueth, told ministers that "the world will judge East Africa by the quality of the rooms, the meals and the service that our visitors receive." He meant it as an exhortation about standards. Read in the week Kenya went shopping for three million tonnes of someone else's maize, it reads as a warning about supply.



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 3 OF 6 · 29 OCTOBER 2026

Nobody will ask your lodge to change its name. That is what the brands are now selling East Africa.

On one Tuesday last week the world's hotel groups told investors that their growth now comes from buildings they do not own and names they do not change. East Africa's independents are the buildings, and the fine print is about distribution, not identity.

On the morning of 27 October, in Phoenix, Arizona, BWH Hotels announced that more than 4,000 hotels across eighteen brands in over a hundred countries would be gathered under a single masterbrand called WorldHotels, with one loyalty programme to replace two. Nothing above the front doors will change: the release is explicit that individual property names, signage and flags stay as they are and that each brand's identity is preserved. Ron Pohl, who runs the new WorldHotels Collection, described the platform as sitting "at the intersection of independence and scale."

Hours later, Preferred Hotels & Resorts announced that twenty eight hotels had joined its membership in the three months to 30 September, its largest quarterly intake since 2024. One of the twenty eight is in Africa, a restored palace in Fès. None is in East Africa. And on the same day, Hilton reported third quarter results showing a record pipeline of 543,100 rooms and the largest organic openings quarter in its history.

Three announcements, one Tuesday, and a single commercial fact underneath all of them: the fastest growth in branded hospitality is no longer coming from building hotels or from persuading owners to rename them. It is coming from affiliation. Hilton told investors that conversions made up 37 per cent of its third quarter openings, and that over the previous twelve months its new hotels had arrived carrying the signage of nearly sixty different brands. Christopher Nassetta, Hilton's chief executive, put conversions at roughly 40 per cent of growth for the full year.

For East Africa's independent lodges, camps and city hotels, this is the most consequential shift in the branding conversation in a decade, and it is being discussed almost entirely in the wrong terms. The question operators are being asked to consider is whether to join a collection. The question they should be answering is narrower and much less flattering: what share of my room nights would this affiliation actually originate that I cannot already

reach, and what is the median outcome, not the average one.

Start with why the offer is arriving at all. Patrick Scholes, the lodging analyst at Truist Securities, named the pressure plainly in January: "There's a lot of pressure from Wall Street to continue to find ways to grow net-unit growth." Affiliation is the cheapest net unit growth in the industry. It requires no construction, no conversion capital from the brand, and in the case of a collection, no demand that the owner surrender a name that may be the most valuable thing they own. Accor's third quarter, published on 22 October, showed net unit growth of 3.0 per cent against a pipeline up 9.5 per cent. IHG, reporting the same day, put net system growth at 4.9 per cent across roughly 7,200 hotels. Chekitan Dev, who studies hotel branding at Cornell, describes what collections promise owners as "the best of both worlds: individuality plus the commercial engine of a major brand."

East Africa is a target for a reason that has nothing to do with sentiment. In a quarter when Greater China's revenue per available room fell 3 per cent for IHG, when the six Gulf states fell 12 per cent, and when the United Arab Emirates was still running about 20 per cent below the same period last year for Accor, Africa was one of the few places the numbers moved the right way. IHG reported African revenue per available room growing in the mid teens. Accor's Middle East, Africa and Asia Pacific region grew 3.6 per cent, and did so purely on price. That combination, rate that is holding and supply that is being built, is what a development team looks for.

The supply side is the other half. W Hospitality Group's annual survey put Africa's hotel development pipeline at a record 123,846 rooms across 675 properties, up 18.6 per cent year on year, with global chains accounting for roughly 80 per cent of it. Egypt and Morocco hold more than 45 per cent of the rooms. But the more telling number for this region is not pipeline size, it is the share of pipeline actually under construction. Kenya and Ethiopia each have close to 80 per cent of their pipeline rooms on site, Tanzania 77.5 per cent. "Kenya, Ethiopia and Tanzania show some of the highest construction ratios on the continent," said Trevor Ward, the firm's managing director. Rooms under construction become rooms needing distribution, which is the product a collection sells.

Some of this has already landed. Curio Collection by Hilton made its East African debut in March 2024 with Kwetu Nairobi, a 102 room property assembled from five interconnected buildings on the edge of Karura Forest, a house that had been a guest house and then a boutique hotel before it carried a Hilton descriptor after its own name. In October 2025 Hilton signed three Tapestry Collection properties into sub-Saharan Africa at once: the 91 room Ava Hotel Nairobi in Lavington, the 80 room Zaria Court Kigali, and The Sterling Hotel in KwaZulu-Natal. The Kenyan and Rwandan properties are managed by Aleph Hospitality, not by Hilton. By March this year the group reported 70 trading hotels in Africa with more than a hundred under development across thirteen brands, after a record twenty nine deals signed in 2025 across fifteen countries. "Sub-Saharan Africa remains a strategically important growth region for Hilton," said Carlos Khneisser, its development chief for the Middle East and Africa. Curio and Tapestry each passed two hundred open hotels this year, with 120 and almost 150 respectively still in development.

So the offer is real, the pipeline is real, and the brands' need for it is real. What has not been done honestly, anywhere in the sales material, is the arithmetic.

It can now be done, because American franchise disclosure rules force the brands to publish performance data they would otherwise keep. Markus Busch, writing on 23 October, read Item 19 of this year's Curio Collection and Autograph Collection disclosure documents, and the numbers deserve to be read slowly. Across thirteen Curio conversions in the United States, revenue per available room rose 30.5 per cent, from $131.76 to $171.94, after affiliation. That is the figure a development executive will put on a slide. The figure that matters more is the next one: of the eleven franchised hotels in that sample, two reached the average. The median gain was 19 per cent. Marriott's Autograph sample, thirty one hotels converted between 2015 and 2022, showed revenue per available room up 22.4 per cent in the first year, with ten of the thirty one reaching that first year average. Both samples start from occupancies that were plainly weak, 58.5 per cent for the Curio group and 64.6 per cent for Autograph, and both include only hotels still flying the flag, which quietly removes the owners for whom it did not work.

The channel data is where an East African operator should linger. For 130 Autograph hotels, Marriott's own reservation channels delivered 75.1 per cent of room nights in 2025. Inside that number, Marriott.com accounted for 47.3 per cent of bookings, the global distribution systems 16.6 per cent, and online travel agencies 7.6 per cent. The last two are channels any independent lodge in Kenya or Tanzania can already reach, and already pays for. The genuinely exclusive contribution of the flag is closer to half the headline, not three quarters of it. Loyalty tells a similar story with a wider spread: members filled 75 per cent of occupied rooms on average across sixty three comparable Curio hotels, but individual properties ranged from 35.9 per cent to 92.7 per cent, and the count includes rooms given away on points.

None of this says affiliation is a bad deal. It says the distribution of outcomes is wide, skewed, and almost entirely determined by whether a particular property sits in the path of a particular brand's existing member traffic. That is a question about your market, not about the brand's. A tented camp in the Mara that already fills 60 per cent of its nights through a dozen specialist safari agents and a repeat direct guest list is buying something very different from a 90 room Nairobi business hotel chasing corporate rate agreements and GDS visibility. The second may find a collection transformative. The first may be paying a fee stack to be listed alongside properties whose guests were never going to come.

Neither BWH's announcement nor Preferred's discloses what any of this costs, and no comparable disclosure exists for East Africa at all. The published evidence is American, read through a secondary analysis, and transposed onto a decision being made in Nairobi or Arusha. An owner should treat it as the best available guide to the shape of the outcome, not to its size.

There is a second risk, and the events of 27 October are the cleanest illustration of it anyone could ask for. The thing you sign is not necessarily the thing you will be inside. More than 4,000 hotels woke up last Tuesday to find their parent reorganising around a masterbrand they had not chosen, with the two loyalty programmes they had been sold being merged into one that launches on 5 January 2027. The detail of how that merger works will not be published until 16 November. Preferred's quarterly intake, meanwhile, is a reminder that a collection's demand base is wherever its members are, and on current evidence that is Europe, Asia and the Americas, with one hotel in Morocco and nothing in this region.

The alternatives are not nothing. Shannon Knapp, who runs The Leading Hotels of the World, draws the distinction bluntly: "We are not a unit-growth company." Her group accepts roughly 5 per cent of the six hundred odd enquiries it receives each year, and Relais & Châteaux takes about thirty from six hundred applications, which is a different proposition from a platform whose growth target is its reason for existing. The other route is the one African Hotel Development took in June 2025, handing twenty six ONOMO hotels across fourteen countries to Aleph Hospitality to operate while keeping the brand itself. "We retain full strategic control over the future of the ONOMO brand," its chief executive Julien Renaud said, describing the logic as separating operations from ownership and brand development.

That is the frame East Africa's independents should bring to the meetings that are coming, and they are coming. The brands have conceded the name, which is a real concession and worth something. But a concession on identity is not a concession on economics, and the two have been deliberately bundled. When the development executive arrives with the 30 per cent slide, the question is not whether the collection will lift your occupancy. It is what the median member did, what share of the promised contribution is a channel you already hold, and what happens to this agreement the next time a parent company decides to reorganise around a masterbrand.



Illustration: AI-generated for EA Hospitality Pulse — synthetic image, not a photograph

BIG READ 4 OF 6 · 30 OCTOBER 2026

Africa is now 47 per cent of Kenya's arrivals. The rate card is still written for Europe.

Seventy Ugandan hoteliers spent six days on the Kenyan coast this week and three trade associations signed memoranda in Mombasa, but the region's largest source market is the one East Africa's commercial architecture, priced in dollars and sold through overseas intermediaries, is least equipped to serve.

The delegation had already seen the product by the time the speeches began. More than seventy Ugandan tour operators, travel agents, hoteliers and Uganda Tourism Board officials had spent six days working their way along the Kenyan coast, playing a golf tournament at Vipingo Ridge on the Saturday, before assembling on Monday at the Sarova Whitesands Beach Resort in Mombasa for the fifth Uganda-Kenya Coast Tourism and Innovation Summit. Herbert Kiguli, Uganda's Consul General in Mombasa, framed the week in the language the region now uses by default. "Our approach is to embrace complementarity rather than competition," he said.

Three memoranda were signed on the opening day. Uganda's and Kenya's tour operator associations, AUTO and KATO, agreed on regional cooperation. Their travel agent counterparts, TUGATA and KATA, signed an implementation agreement for the coastal collaboration. The Private Sector Foundation Uganda signed with the Mombasa chapter of the Kenya National Chamber of Commerce and Industry. All three were private sector documents. A joint government declaration for the East African Community Secretariat was expected, and a communiqué with institutional commitments is due within a fortnight.

Behind the ceremony sits a number that should unsettle anyone selling beds on the Kenyan coast. In 2025, according to Uganda Tourism Board figures cited at the summit, 519,041 Kenyans visited Uganda, up from 466,902 the year before. Over the same period, Kenya Tourism Board data puts Ugandan arrivals in Kenya at 234,556, up from 201,623. Uganda is Kenya's second-largest source market, and the flow is still running better than two to one in Uganda's favour. Kenya owns the beach, the long-haul airlift and the brand, and it is a net exporter of travellers to the neighbour that has neither coast nor hub.

That asymmetry is not the anomaly. It is the shape of the market, arriving faster than the industry's assumptions about it. Kenya's own Tourism Sector Performance Report for 2025, released in April, put international arrivals at 2.7 million, up 9 per cent, with Africa accounting for 47 per cent of them against 25 per cent from Europe and 14 per cent from the Americas. A year earlier, the Tourism Research Institute's 2024 report recorded 2,394,376 arrivals of which 975,883, or 40.8 per cent, came from Africa. Six percentage points of structural shift in twelve months is not noise. In the same 2024 table, Uganda contributed 225,559 arrivals and Tanzania 203,290. Together the two neighbours out-delivered the United States, Kenya's single largest market at 306,501, by a comfortable margin, and nobody writes a marketing brief about them.

Uganda has already finished the journey Kenya is halfway through. Its Ministry of Tourism, Wildlife and Antiquities, presenting the Tourism Development Programme Performance Review for the 2025/26 financial year in Kampala this month, reported 1,642,215 international arrivals in 2025, a rise of 19.7 per cent, and receipts of US$1.62bn, up 21.3 per cent. Africa supplied 79.2 per cent of those arrivals, and the East African Community supplied 69.1 per cent of the African share. Asia accounted for 7.8 per cent, Europe 7.1 per cent, the Americas 4.2 per cent. India, at 57,051 arrivals, was the leading overseas market, ahead of the United States at 52,290. "Tourism continues to contribute significantly to foreign exchange earnings, employment, household incomes and investment," said Doreen S. Katusiime, the ministry's permanent secretary.

The reflex objection is that regional volume is cheap volume. Uganda's figures do not support it. Average length of stay rose to 8.8 nights, the highest in the review period. Average spend per international trip rose from US$933 to US$986, and average spend by leisure tourists from US$2,114 to US$2,144. A destination that is four-fifths African is also a destination where the typical visitor stays nearly nine nights and spends close to a thousand dollars. Whatever is dragging down the blended average, it is not the regional guest in aggregate.

For the mature version of this market, look south. Statistics South Africa released its September figures on Wednesday, and they describe a tourism economy that long ago stopped pretending Europe was the main event. Of roughly 835,000 tourists recorded in the month, 659,613, close to four in five, came from SADC countries: Mozambique with 182,751, Zimbabwe with 178,966, Lesotho with 127,152. Overseas tourists numbered 161,753, among them 27,825 Americans, 22,305 Britons and 17,627 Germans. An earlier Stats SA report this year put the SADC share at 78.2 per cent. The pattern has held for long enough that South African operators build around it rather than apologise for it.

One detail in that release is a warning to anyone reaching for a pan-African thesis. Kenya sent 3,874 tourists to South Africa in September and Uganda sent 1,759. Intra-African travel is not continental, it is a neighbourhood business, built on road borders, shared languages, family networks and a weekend's driving distance. East Africa's version of that market is the Busia and Malaba crossings, the Nairobi to Kampala coach, the Namanga road, the Dar to Zanzibar ferry. It is not reached by a stand at a trade fair in Berlin.

Which is precisely where the commercial problem begins, and why three association memoranda, however well meant, address the wrong constraint. The regional guest does not need to be told that Diani exists. The regional guest needs to be able to buy it. East Africa's hospitality architecture was engineered for the overseas 20 to 40 per cent: rates published in dollars, contracted months ahead through tour operators and online travel agencies, secured by a card-not-present deposit, bundled into multi-night itineraries, and signalled through a classification system whose stars were designed to reassure a buyer in Frankfurt. Almost every element of that machinery actively obstructs a Kampala family deciding on a Tuesday to drive to Mombasa on a Friday.

The state, oddly, got there first. Kenya Wildlife Service publishes its conservation fees in explicit tiers. At Amboseli, a non-resident adult pays US$90. A Kenya resident pays Ksh 2,025, and an East African citizen pays Ksh 1,500. At Nairobi National Park and Tsavo East the East African citizen rate is Ksh 1,000 against US$80 for a non-resident. The parks decided years ago that the regional visitor is a distinct customer with a distinct price in a distinct currency, and they enforce it at the gate. Many hotels have the equivalent tier buried in a rate sheet. Far fewer have it bookable: visible on the property's own site, payable by mobile money, confirmable without a card, available for two nights rather than five, and priced in the currency the guest actually earns.

Transport is the second blockage, and Kiguli named it. He pointed to high air fares as a major obstacle and proposed that the region be treated as a single aviation bloc. The ambition is right and the timing is poor: a regional guest who finds the Entebbe to Mombasa fare absurd simply drives, and a drive-in guest arrives late, unannounced, with luggage and children and no reservation reference. That is a yield management problem dressed as a connectivity problem, and it is solved at the front desk and in the channel manager long before it is solved at a ministerial summit.

The policy track is moving, slowly. Organisers in Mombasa plan a review of Article 104 of the EAC Treaty, the free movement provision, to identify what actually stops people crossing. Beatrice Askul Moe, Kenya's Cabinet Secretary for East African Community, ASALs and Regional Development, put the standard plainly: "Regional integration is measured by how easily our citizens, goods and services move across our borders." Rebecca Alitwala Kadaga, Uganda's First Deputy Prime Minister and EAC Affairs Minister, gave the keynote and asked for more than warm words. "Tourism cooperation must go beyond promoting destinations to empowering local communities," she said, calling for formal frameworks, business-friendly policy, better transport and improved visitor safety. "This summit must turn our good intentions into actions the rest of the Community can follow." Susan Nakawuki Nsambu, Uganda's Minister of State for Tourism, Wildlife and Antiquities, was blunter about the limits of the format. "The value of this partnership lies not simply in the meetings we hold," she said.

Two cautions are worth stating before anyone rewrites a budget. The cross-border figures come from two different national agencies counting two different things, Uganda Tourism Board counting Kenyan visitors and Kenya Tourism Board counting Ugandan arrivals, and neither separates leisure from trade, transit, family visits or cross-border work. The two-to-one imbalance is real in the published numbers and should not yet be read as a pure leisure deficit. And the regional guest, once courted properly, is rate-transparent in a way the long-haul guest is not. They will see the tier, compare it with the dollar rate, book the cheaper one, and talk about it. A property that opens a regional price without ring-fencing it by lead time, day of week and length of stay will discover it has not found a new market, it has repriced its old one.

Set against that, the structural case is now hard to argue with. Africa supplies 47 per cent of Kenya's arrivals and 79.2 per cent of Uganda's. The East African Community alone accounts for more than two-thirds of Uganda's African visitors. South Africa has run a four-to-one regional-to-overseas ratio for years and treats it as the business rather than the fallback. Seventy Ugandan buyers walked the Kenyan coast this month, and more than 450 stakeholders have joined these familiarisation trips since 2022, with Kenyan operators travelling to Uganda next week.

The operator question for Monday morning is therefore narrow and testable. Not whether the property markets to Kampala or Kigali or Arusha, which it probably already does badly and cheaply. The question is whether a family in Kampala can find a two-night rate, in shillings, on the property's own site, pay a deposit by mobile money without a card, and have it honoured on a Friday evening road arrival with no voucher. Where the answer is no, the fastest-growing source market in the region is being counted at the border and turned away at the till.



A cruise ship's pool deck at dusk: on a day call the ship is the passenger's hotel, and the luggage never comes ashore. Photograph: Onyango George / EA Hospitality Pulse

BIG READ 5 OF 6 · 31 OCTOBER 2026

East Africa is counting cruise ships. The number that pays is bed nights.

Mombasa's record 2025/26 cruise season delivered 4,889 passengers across nine calls, under four per cent of a single month's air arrivals into Zanzibar, and almost none of them slept ashore. The published schedule for the season now opening shows four calls and not one turnaround. The region is lobbying for berths when the thing that converts a day call into a bed night is scheduled lift.

On the last day of June the MS Viking Yi Dun tied up at Kilindini with 717 passengers aboard, most of them Chinese, the first Asian-sourced cruise vessel ever to call at Mombasa. It was also the ninth and final call of the 2025/26 season. Two men standing on the quay said almost exactly the same thing. Capt. William Ruto, managing director of the Kenya Ports Authority, observed that "one day is not enough for visitors to experience the beautiful scenery of Mombasa". Mohamed Hersi, group director of operations at Pollman's Tours and Safaris, put it to the passengers directly: "I wish you were staying longer so that you could enjoy more of what Kenya has to offer."

Both were describing, politely, the central commercial fact about cruise tourism in East Africa, which is that it does not sell beds. A cruise call is a day business. It delivers a crowd to a quay for eight or twelve hours, sells them an excursion, a lunch and a carving, and sails. The region is budgeting it as a bed-night market, lobbying for it as one, and setting targets against it as one. The arithmetic does not support any of that, and the season now opening is the moment to say so, because the published schedule for it is thinner than the one it follows.

Start with the scale. The 2025/26 Mombasa season, running from October to June, brought 4,889 tourists across nine calls, according to the Kenya News Agency account of that final arrival. That was a record. The season before it managed five vessels and 4,205 tourists. Set the record against the business it is supposed to feed. Zanzibar took 124,481 international arrivals by air in August 2026 alone, up 18 per cent on the 105,506 of August 2025, at an estimated bed occupancy of 92.9 per cent, on figures published by the Office of the Chief Government Statistician in September. An entire nine-month cruise season across the water amounts to under

four per cent of one month of Zanzibar's air traffic, and almost none of it sleeps ashore at all.

Timing sharpens the point. Last season opened on 29 October, when the SH Diana called. As this piece is written, at the end of October, the published forward schedule for Mombasa carries four calls for the whole of 2026/27 and the earliest of them is in December: Hapag-Lloyd's ms Europa 2 on 14 December, Regent's Seven Seas Voyager on 9 January, and Phoenix Reisen's Artania alongside from 3 to 5 April. Forward cruise schedules are incomplete by nature and fill in through the year, so this is a snapshot rather than a verdict. But it is the snapshot an operator pricing the coast season has to work from, and it shows no step change.

The global picture argues against waiting for one. Cruising is in a genuine boom: the Cruise Lines International Association counted 37.2 million ocean passengers in 2025, up 7.5 per cent on 34.6 million the year before, and forecasts 38.3 million for 2026 and 40.3 million for 2027, on an orderbook that adds roughly 29 per cent more lower berths between now and 2037. Africa and the Middle East as a destination region took about 457,800 of those passengers in 2025, down 11.6 per cent year on year. The industry grew; this region's share of it shrank. There is no rising tide here to be lifted by, only a redistribution happening elsewhere.

The source markets explain why, and they matter more than the headline count. CLIA puts Germany at 21.8 per cent of passengers cruising the Africa and Middle East region, South Africa at 17.9 per cent and Russia at 8.5 per cent. Now look at the three ships actually booked into East African ports for the coming season. Two of the three, the ms Europa 2 and the Artania, are German-market vessels. Zanzibar's air arrivals in August, by contrast, were 14.1 per cent Italian, 7.9 per cent British and 6.9 per cent German. The cruise guest and the lodge guest are not the same person, are not sourced in the same country, and do not arrive through the same channel. A coastal hotel that treats cruise traffic as incremental demand from its existing markets has misread the manifest.

There is a stranger feature of the schedule that almost nobody says out loud. Those same three ships call at both ports within days of each other. The ms Europa 2 is at Zanzibar on 12 December and Mombasa on 14 December. The Seven Seas Voyager is at Mombasa on 9 January and Zanzibar on 10 January. The Artania leaves Mombasa on 5 April and is at Zanzibar on the 6th. Mombasa and Zanzibar are not two cruise markets competing for traffic. They are two stops on one itinerary, selling to the same passenger on the same hull in the same week. Neither port can win share from the other. The only variable either controls is what it extracts in the hours it has, and whether it can persuade that passenger to come back on a plane.

Which brings in the number that would actually change the business. In a CLIA survey of 1,884 recent cruisers taken in December 2025, 64 per cent had stayed at least one night in a port city before or after their cruise. Fifteen per cent took a night at both ends, 5 per cent took two nights, 7 per cent took three or more, and the share has sat between 64 and 70 per cent for about two and a half years. The land stay, in other words, is not a hard sell. Nearly two thirds of cruise passengers already buy one. They buy it at the turnaround port, where the cruise begins or ends and the aeroplane has to be met, not at a mid-itinerary day call where the ship is their hotel and their luggage never leaves it.

That is why one call in that nine-call season was worth more to the coast than most of the other eight together. On 4 January the Crystal Symphony stayed 48 hours at Mombasa, about 250 passengers went ashore for good, and a similar number boarded for the next leg. June Chepkemei, chief executive of the Kenya Tourism Board, read it correctly at the time. "Mombasa's turnaround success with Crystal Symphony showcases our ports' readiness for longer stays," she said, adding that "this 48-hour turnaround is a game-changer for Mombasa, it spreads economic impact far beyond the dock". She also set a target in the same breath: "We're targeting 20 ships in 2026 to build on 2025's momentum." Nine arrived. And the published schedule for the season now opening contains no turnaround at all. The Europa 2 is in at eight in the morning and gone by eight in the evening. The Seven Seas Voyager likewise. Only the Artania buys the coast more than a single trading day, and that is one ship sitting for two nights rather than a crew change that fills hotel rooms.

A word of caution about all of these figures, because the counting here is genuinely unreliable and an operator needs to know it. The tourism board's own account of 2025 says Mombasa and Lamu received 12 ships carrying

over 15,000 visitors, with shorter stays up 140 per cent. The news agency figure for the preceding season is five vessels and 4,205 tourists. Both cannot be a like-for-like count of the same thing: one appears to be a calendar year across multiple ports and to include crew, the other a season at Mombasa counting tourists. Even the season-opening SH Diana call is reported at 120 passengers in one tally and 250 in another. Three questions should be put to every published cruise number before it enters a forecast. Which ports. Which months. Does it count crew.

As for what a day call is worth when it does arrive, the best-documented benchmark is not African. The Florida-Caribbean Cruise Association's study across 33 Caribbean and Latin American destinations, covering May 2023 to April 2024, put average onshore spend at $104.36 per port visit: 41 per cent on retail, 32 per cent on shore excursions, 18 per cent on food and drink, 9 per cent on local transport, with a spread from $73.21 in Belize to $176.73 in the US Virgin Islands. The figures are survey-derived rather than drawn from transaction records, and there is a standing academic complaint that cruise industry impact studies overstate passenger spending. Treat the number as a ceiling and apply it anyway. Four thousand eight hundred and eighty-nine passengers at a hundred dollars is roughly half a million dollars of onshore spend across an entire season, shared out among excursion operators, drivers, Old Town traders and the gate at Fort Jesus. That is a real revenue line for a tour desk. It is not one for a hotel.

The practical reading for an operator follows from that. Price and roster the cruise call as a day business: excursions, day-use rooms, lunch covers, spa hours, and a cash and card plan that survives a four-hour surge of passengers who have no local currency and no intention of acquiring much. Do not hold inventory for it. Do not carry it in the budget as bed nights.

And the lobbying should change its target. Hersi, as chairman of the Kenya Tourism Federation, argued last December that "Mombasa, Lamu and Shimoni seaports should tap into cruise ship tourism by upgrading marine infrastructure". Ruto said the ports authority was poised to increase the capacity of those same three ports. Benjamin Tayari, the authority's chairman, credited streamlined electronic travel authorisation processing, saying "such initiatives are already yielding results". Berths and immigration throughput are necessary conditions and worth having. Neither converts a day call into a bed night. Turnaround status does, and turnaround status is not mainly a quay question: it is baggage handling, provisioning, bonded stores, and above all scheduled long-haul lift out of Mombasa on the days a ship turns. No line will begin or end an itinerary at a port its passengers cannot fly into, however deep the water.

The honest version of the ambition is therefore narrow, unglamorous and achievable: become the turnaround port for one small-ship line on one Indian Ocean itinerary, and that stable 64 per cent does the rest of the work by itself. The version currently being sold, a growing cruise market that will lift coastal occupancy, is the one the numbers refuse. Chepkemei's phrase about economic impact spreading far beyond the dock was right about the single 48-hour call it described and wrong as a description of the season that call opened. Ruto's remark on the quay in June was the more useful sentence, and it was not a compliment. One day is not enough. The only question worth asking about the season now beginning is whether anybody is building the thing that would make it two.



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 6 OF 6 · 1 NOVEMBER 2026

Hilton reported its Africa region down 5.6 per cent. It was not measuring Africa.

Three of the four listed hotel majors reported the same overlapping geography this month. Hilton's Middle East and Africa line fell 5.6 per cent and is guided to a low double-digit decline for the year, IHG's wider EMEAA bucket rose 5.0 per cent, and Accor published its numbers twice, once with the Middle East in and once with it out. None of them published a figure for Africa. East Africa is where those same companies are building hardest, and it is the half of a hyphen whose number is set somewhere else.

Hilton published its third-quarter results on 27 October and raised its outlook for the year. Revenue per available room across the system was up 5.8 per cent on a currency-neutral basis. The United States was up 7.0 per cent, the Americas outside the United States up 6.3 per cent, Europe up 6.5 per cent. Asia Pacific was almost flat, down 0.5 per cent. One line in the table pointed the other way: Middle East and Africa, down 5.6 per cent.

On the call that followed, Kevin Jacobs, Hilton's chief financial officer, explained that line in a sentence that did not contain the word Africa. RevPAR in the region, he said, "declined 5.6% year-over-year as conflict related pressures in the region intensified during the quarter". He went further on the outlook: "We now expect full year RevPAR in the region to decline by a low double digit percentage." Christopher Nassetta, the chief executive, was blunter about the cause when asked why earnings had not flowed through as expected, saying the Middle East was "a little more beaten up" than the company had allowed for, and then offering the consolation that comes with a cyclical read: "I think The Middle East will be a heck of a lot better next year than this year."

For an owner in Nairobi, Arusha or Kigali, none of that is a curiosity about somebody else's war. It is, for this quarter, the only public performance number about their region that institutional capital is going to read.

Compare it with what the same geography looked like five days earlier. IHG issued its third-quarter trading update on 22 October: global RevPAR up 5.3 per cent in the quarter, up 4.6 per cent for the year to date, the

Americas up 6.8 per cent, Greater China down 3.3 per cent, and the region that contains both Dubai and Dar es Salaam, which IHG calls EMEAA, up 5.0 per cent. Elie Maalouf, the chief executive, described what sat inside it as "a broadly flat performance in the Middle East", a drag the rest of the bucket comfortably absorbed.

Accor reported on the same day and did something more revealing. Group RevPAR was up 4.9 per cent, its Middle East, Africa and Asia-Pacific region up 3.6 per cent, and then every headline figure appeared a second time with the Middle East stripped out: the region up 4.0 per cent excluding the Middle East, the Luxury and Lifestyle division up 8.3 per cent but up 11.3 per cent excluding it, the Premium, Midscale and Economy division up 3.2 against 3.3. The release names the United Arab Emirates as the one market the conflict hit, still running about 20 per cent below the third quarter of 2025, and it notes that the Middle East and Africa sub-region accounts for a fifth of the region's room revenue. Sébastien Bazin, Accor's chairman and chief executive, said simply that "the Group delivered strong growth in the third quarter", which the ex-Middle East numbers support rather better than the headline ones.

Set the three side by side and the arithmetic stops being about hotels. In one calendar quarter, across heavily overlapping territory, the listed majors reported minus 5.6 per cent, plus 5.0 per cent and plus 3.6 per cent. That spread is not a measurement of how African hotels traded between July and September. It is a measurement of where each company drew a line on a map, how much Gulf exposure sits inside it, and whether anybody at head office thought the composite was honest enough to publish on its own. Accor's answer to that last question was no, which is why it published the number twice.

Marriott completes the set tomorrow morning, releasing third-quarter results at 7am Eastern on 2 November with a call at eight, hosted by Anthony Capuano and the chief financial officer, Jennifer Mason. Marriott is the largest hotel company in Africa's development pipeline. What it will not do, on the form of every quarter it has reported, is publish a RevPAR figure for Africa by itself.

Which is the part that should irritate East African owners, because these are the same companies currently placing their biggest African bets on their doorstep. W Hospitality Group's annual survey of chain development pipelines, published on 10 March, put the continental pipeline at a record 123,846 rooms across 675 hotels, up 18.6 per cent year on year and up 12.2 per cent on a same-store basis. Egypt alone holds 45,984 of those rooms, more than a third of the continent. But the headline number conceals the more useful one, which is how much of each country's pipeline has actually broken ground. Kenya has 6,190 rooms across 35 hotels, of which 79.5 per cent are under construction. Ethiopia has 5,964 rooms with 79.9 per cent under construction, Tanzania 4,159 rooms with 77.5 per cent. Trevor Ward, the firm's managing director, put it plainly: "What stands out this year is the strength of East Africa in terms of projects moving forward." Marriott leads the continental pipeline with 31,782 rooms, Hilton and Accor behind it, and the big five chains between them account for roughly 80 per cent of the pipeline.

So the position is this. The brands are converting East African signatures into concrete faster than they are anywhere else on the continent. They are also reporting the results of that region, when the hotels open, inside a composite whose quarterly direction is currently set by conflict several thousand kilometres from any of it. Hilton's own system-level numbers were strong: net unit growth of 6.0 per cent, a record pipeline of 543,100 rooms with nearly half under construction, new construction starts up more than 40 per cent year on year, guidance for the full year lifted from 3 to 3.5 per cent up to 4 to 4.5 per cent. Nassetta noted that conversions made up 37 per cent of the quarter's openings. None of that momentum gets attached, in any public document, to the countries doing the building.

The honest difficulty is that East Africa cannot answer with a like-for-like number, because it does not have one. Kenya's own data for the 2025/26 government financial year, announced by the Ministry of Tourism and Wildlife in August, records 2.76 million international arrivals, up about 9.5 per cent, and earnings of KSh564 billion, up about 18.5 per cent against a target of KSh529 billion, with average spend per international traveller rising from KSh189,000 to KSh204,298. Those are good numbers and they moved in the opposite direction to Hilton's regional line. They are also arrivals and receipts, not revenue per available room, measured over a financial year

rather than a calendar quarter, which makes the comparison suggestive rather than decisive.

It is worth being equally honest about the softer part of the same release, which has been widely misreported. Domestic bed-nights came in at 5.15 million, up 2.6 per cent, which was 554,000 short of a 5.70 million target. The 5.7 million figure now circulating as an achievement was the target, not the outturn. As for an actual Kenyan RevPAR series, the nearest public thing is a sub-regional performance note on CoStar's site whose Kenyan figure is a RevPAR decline of 18.0 per cent, driven by weakness in Nairobi, for the month of March 2025. That is the most recent country-level rate-and-occupancy number a Kenyan hotelier can point a lender to without a subscription. It is nineteen months old.

That absence has a price, and it is not abstract. Regional composites are what gets quoted in franchise and management negotiations, what sets the mood of an incentive-fee discussion, what a valuer reaches for when there is no local series, what a credit committee reads when it has never financed a lodge, and what the trade press recycles for the following six months. An East African owner whose property traded well through the third quarter now carries a public regional headline of minus 5.6 per cent and a full-year guide to a low double-digit decline, neither of which they earned. The reciprocal risk arrives next year. If Nassetta is right that the Middle East will be "a heck of a lot better", the 2027 rebound in that composite will flatter East African assets that took no part in the fall and will take no part in the recovery, and a number nobody earned on the way down is a poor basis for a valuation on the way up.

Mohammed Hersi, a director of Pollman's Tours and Safaris and one of the more consistently unsentimental voices in Kenyan tourism, made a related point last month about the gap between headline growth and what operators actually experience. "It is not always about growth," he said. "It is also about stability." In a September column he framed the competitive question in terms that bear directly on this: "Kenya is not competing against itself. We are competing against Tanzania, against South Africa." That is true, and it is precisely the comparison the public data will not support. Sam Ikwaye, the Kenya Association of Hotelkeepers and Caterers coast executive officer, said of the sector's persistent constraints that "that is what is still blocking the growth that we should be seeing".

The remedy is unglamorous and sits with owners rather than ministries. Benchmarking subscriptions that produce a defensible competitive set cost a fraction of one month's brand fee, and a property that can show its own market data has something to put next to a regional composite in a fee negotiation. Incentive-fee thresholds and performance tests should be written against a named local competitive set rather than a brand's regional index, because a region whose number is set by a Gulf conflict is a hopeless benchmark in both directions. Association-level reporting, aggregated and anonymised, is the cheapest route to a credible national series and the only one that does not wait on legislation.

Hilton, IHG and Accor will keep reporting a region that does not function as a market, because segment reporting follows corporate structure and investor habit, not geography. That is their business. The question for East Africa is whether it keeps consenting to be the half of a hyphen, its best trading quarter in years disclosed to the world's capital as a minus sign belonging to somebody else's war.

THE LEDGER

We publish our forecasts with resolution criteria and a deadline, then score them in public. Open calls can be checked against the source on the date given.

RESOLVED THIS WEEK

P041 · CORRECT
The 2026 Yas Zanzibar International Marathon will be held on 25 October 2026 (not 20 September 2026)

P043 · CORRECT
RwandAir will still operate 4 weekly Kigali–Paris(CDG)–Brussels rotations as of 15 October 2026 — the winter frequency increase holds rather than being trimmed

P059 · CORRECT
Uganda's US State Department advisory will remain Level 4 (Do Not Travel) through 30 September 2026 despite completing its 42-day Ebola all-clear on/around 28 August — confirming the designation tracks DRC and structural factors not Uganda's own epidemiology

P060 · CORRECT
The UK FCDO Uganda advisory will NOT carry a blanket 'advise against all travel to Uganda' (only regional/border-area warnings) through 30 September 2026 — Western risk designations diverge and the US Level 4 is an outlier

P110 · CORRECT
The 70,000-dose Ervebo allocation will not reverse the DRC Bundibugyo outbreak's growth within six weeks — Ervebo is a Zaire-strain vaccine unproven against Bundibugyo and only 20,000 doses are a trial, so a research event will not deliver near-term containment

P112 · INCORRECT
The mainland-Tanzania vs Kenya electricity cost gap will widen further in the next prints — Kenya's EPRA combined monthly pass-through (fuel energy + forex) will stay at or above KSh4.50/kWh in the September 2026 review while Tanzania keeps a generation surplus

P140 · CORRECT
The KAWU grievances from the 20 July 2026 strike notice will NOT be fully arbitrated and closed within the three weeks the 1 September return-to-work agreement allows — the arbitration under the PS for Aviation and Aerospace Development will still be open, extended or unresolved on 26 September 2026

P176 · CORRECT
Kenya's Ministry of Tourism, Kenya Tourism Board or Tourism Regulatory Authority will NOT issue any public statement or advisory addressing the safety of foreign nationals in Nairobi on or before 30 September 2026, despite the Nairobi police commander disclosing 18 such cases at Central Police Station on 12 Sep 2026 - the file is being handled as policing, not as destination reputation

P204 · CORRECT
Kenya's Ministry of Tourism and Wildlife will NOT publish a delegate figure, attendance count or formal programme for UN Tourism Week 2026 (21-27 September) either during the week or within 30 days of its close - it was announced on Facebook two days before it began with no venue, programme or numbers attached

P221 · CORRECT
Kenya will NOT publish a further Order extending the 8% VAT on petrol and diesel beyond 14 October 2026 before 15 October 2026

P222 · INCORRECT

A CDC Title 42 order notice extending Ebola entry restrictions on DRC, Uganda and South Sudan beyond 11 October 2026 will be published in the Federal Register by 20 October 2026

P224 · CORRECT

KPOWU will NOT begin a strike that disrupts KPC fuel deliveries before 18 October 2026

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